

NA	Target Rs. NA	CMP Rs. NA	Return NA
Target	Rating	Earnings	

Sector: IT Services

2025-10-17

Stock Type NA	Bloomberg LTTS	Sensex NA	NSE Code LTTS	BSE Code 540115	Time Frame Quarterly
------------------	-------------------	--------------	------------------	--------------------	-------------------------

2025-09-30

Company Data	
Company Secretary & Compliance Officer	Prasad Shanbhag
CEO & Managing Director	Amit Chadha
Head, Investor Relations	Sandesh Naik
Employee Strength	23,678
Patents Filed	1,601
Patents in AI/Gen AI	216

LTTS: Strong Q2FY26 with Record Deal Wins

L&T Technology Services (LTTS) is a global leader in engineering and technology services, offering design, development, testing, and sustenance services across products and processes. It is a listed subsidiary of Larsen & Toubro (L&T).

- Record high TCV of ~USD 300 Mn in Q2FY26.
- Q2FY26 Revenue at ₹29,795 million, up 15.8% YoY and 4.0% QoQ.
- Q2FY26 Net profit at ₹3,287 million, up 2.8% YoY and 4.1% QoQ.
- EBIT margin at 13.4% for Q2FY26.
- Interim Dividend of ₹18 per share declared.
- Patent filings crossed 1,600, with 216 patents in AI/Gen AI.
- Sustainability segment achieved double-digit annual growth for two consecutive quarters.
- Launched an AI-first delivery model and new AI platforms and solutions.
- Strengthened partnerships with SiMa.ai, NVIDIA, and MIT Media Lab.
- Certified by Caterpillar for Supplier Excellence in 2024 and 2025.
- Rated as Leaders by ISG in Medical Device Digital Services and Automotive & Mobility Services.

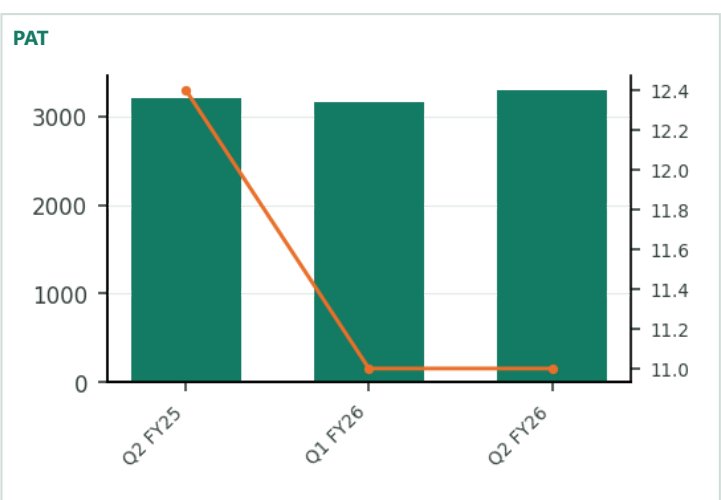
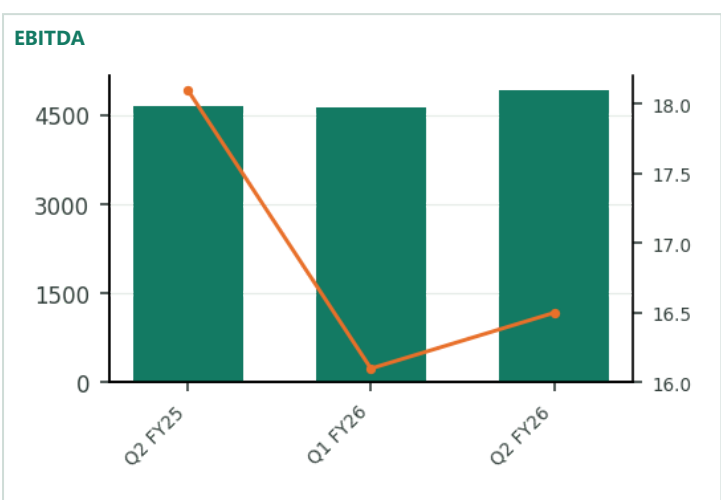
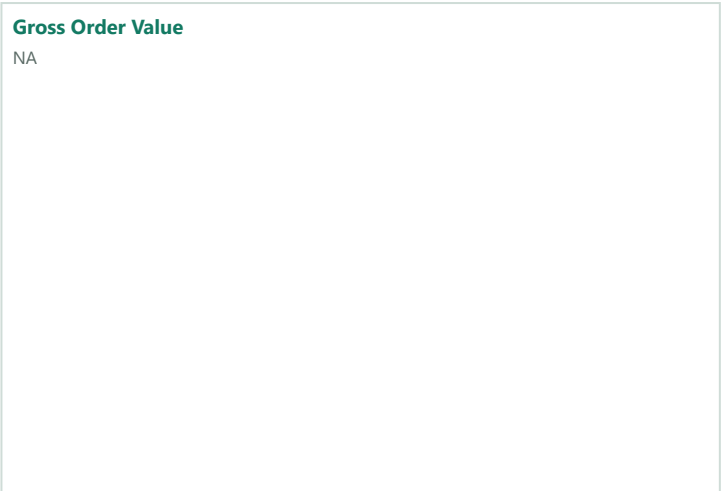
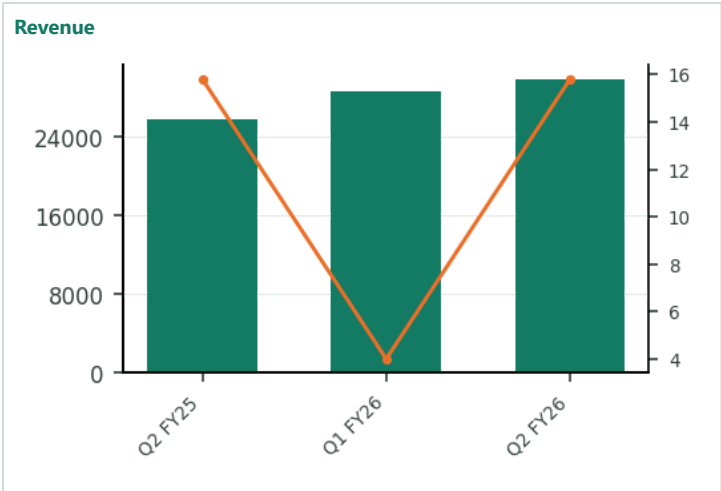
Outlook & Valuation

The company expects both revenue and EBIT margins to improve in H2FY26 compared to H1FY26. LTTS aspires for double-digit growth in FY26 and reiterates its medium-term outlook of USD 2 Bn revenue.

Rs.cr	Particulars	Q2 FY25	Q1 FY26	Q2 FY26	QoQ Growth	YoY Growth
Quarterly Financials						
Revenue	25,729	28,660	29,795	4.0%	15.8%	
Gross Profit	7,537	8,035	8,333	3.7%	10.6%	
EBITDA	4,660	4,624	4,908	6.1%	5.3%	
EBIT	3,877	3,813	3,982	4.4%	2.7%	
Net Income	3,196	3,157	3,287	4.1%	2.8%	
Basic EPS (INR)	30.20	29.81	31.02	NA	NA	
Diluted EPS (INR)	30.12	29.77	30.97	NA	NA	

Key highlights

- Strong momentum in large deal wins with record TCV.
- Resilient growth across segments, particularly in Sustainability.
- Focus on AI-first delivery model and expanding AI portfolio.
- Strategic partnerships to enhance technology backbone.
- Positive outlook for H2FY26 with expected improvement in revenue and margins.



Consolidated Financials

	Particulars	Q2 FY25	Q1 FY26	Q2 FY26	QoQ Growth	YoY Growth
Profit & Loss						
Revenue	25,729	28,660	29,795	4.0%	15.8%	
Cost of sales	18,192	20,625	21,462	NA	NA	
Gross Profit	7,537	8,035	8,333	3.7%	10.6%	
Selling, General & Administration Expenses	2,877	3,411	3,425	NA	NA	
EBITDA	4,660	4,624	4,908	6.1%	5.3%	
Depreciation & Amortisation	783	811	926	NA	NA	
EBIT	3,877	3,813	3,982	4.4%	2.7%	
Other Income, net	531	512	498	NA	NA	
Income tax expense	1,208	1,164	1,188	NA	NA	
Minority Interest	4	4	5	NA	NA	
Net Income	3,196	3,157	3,287	4.1%	2.8%	

	Particulars	FY25	YTD FY26
Cash Flow			
Net cash provided by operating activities	14,811	4,809	
Less: Capex	1,018	643	
Free Cash Flow	13,793	4,166	
Free Cash Flow to Net Income (%)	109%	65%	

	Particulars	FY25	Q2 FY26
Balance Sheet			
Property and equipment	9,063	9,362	
Intangible Assets and Goodwill	13,667	13,673	
Accounts Receivable	29,165	31,987	
Unbilled Revenues	5,953	6,838	
Investments	13,096	13,846	
Cash and Cash equivalents	15,658	14,918	
Other current assets	4,262	3,841	
Other non-current assets	5,571	2,851	
Total Assets	96,435	97,316	
Shareholders' Funds	60,800	61,890	
Other current liabilities	29,900	28,670	
Other non-current liabilities	5,560	6,572	
Minority Interest	175	184	
Total Liabilities	96,435	97,316	

Recommendation Summary

NA

Date	Rating	Target
------	--------	--------

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside > 10%	Upside > 15%	Upside > 20%
Accumulate	-	10%-15%	10%-20%
Hold	0%-10%	0%-10%	0%-10%
Reduce/Sell	Downside > 0%	Downside > 0%	Downside > 0%

▲ Upgrade ■ No Change ▼ Downgrade

Disclaimer

This report is generated automatically from the supplied company document for demonstration purposes and is modelled on the Geojit research format. It is not investment advice. Figures are extracted by an automated system and may contain errors; always verify against primary filings.